EQUITY RESEARCH / AMD

AMD Q3 2026 Quarterly Update

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Summary

AMD's Q3 revenue rose to USD 13,377mm from USD 9,246mm a year earlier, while operating income increased to USD 2,832mm from USD 1,270mm[1][2]. Diluted EPS was USD 1.46, compared with USD 0.75 in the prior-year quarter[3]. Data Center was the main growth engine; Client and Gaming revenue declined, and Embedded revenue improved[4][5][6]. The valuation output indicates a Sell rating: the Gordon-growth DCF target is USD 84.77 per diluted share, and the relative valuation cross-check is lower than the DCF by 10.3%[7][8]. The terminal methods diverge materially, so the target relies on the Gordon-growth case and carries meaningful model sensitivity[7][9].

Results

Revenue increased 44.7% year over year to USD 13,377mm[1]. Gross profit was USD 7,210mm and gross margin was 53.9%, against USD 4,780mm and 51.7% in the prior-year quarter[10][11]. Operating income grew to USD 2,832mm from USD 1,270mm, and operating margin reached 21.2%, up from 13.7%[2][12]. Net income was USD 2,428mm versus USD 1,243mm, while diluted EPS was USD 1.46 versus USD 0.75[13][3].

Year-to-date revenue rose to USD 35,166mm from USD 24,369mm[1]. Gross margin was 53.5%, compared with 47.5%; operating income was USD 6,298mm versus USD 1,942mm; and diluted EPS was USD 3.69 versus USD 1.73[11][2][3]. These comparisons show stronger revenue and operating leverage over the period, while the quarterly results show that growth was not shared evenly across segments.

The Q3 income statement also recorded USD 902mm of other income (expense), net, compared with USD 82mm of other income (expense), net in the prior-year quarter[14]. This line moved against reported income before tax, which increased to USD 1,868mm from USD 1,315mm[15]. It is important to keep this caption distinct from interest expense: interest expense was USD 62mm, compared with USD 37mm[16].

Segment detail

Data Center revenue nearly doubled to USD 8,546mm from USD 4,341mm[4]. Operating income was USD 2,882mm against USD 1,074mm, and segment operating margin increased to 33.7% from 24.7%[17][18]. Year-to-date revenue reached USD 21,039mm versus USD 11,255mm, with operating income of USD 6,584mm versus USD 1,851mm[4][17]. This segment accounted for most of the quarter's reported revenue growth.

Client and Gaming revenue declined 8.1% to USD 3,722mm from USD 4,048mm[5]. Operating income fell to USD 573mm from USD 867mm, and operating margin was 15.4% versus 21.4%[19][20]. Year-to-date revenue was USD 11,168mm against USD 10,610mm, but operating income decreased to USD 1,730mm from USD 2,130mm[5][19]. The quarterly contraction and lower margin temper the stronger year-to-date revenue comparison.

Embedded revenue grew 29.4% to USD 1,109mm from USD 857mm[6]. Operating income increased to USD 453mm from USD 283mm, and operating margin rose to 40.8% from 33.0%[21][22]. Year-to-date revenue was USD 2,959mm versus USD 2,504mm, with operating income of USD 1,177mm versus USD 886mm[6][21]. Recent improvement follows a weaker annual revenue trend: Embedded revenue was USD 3,454mm in FY2025, down from USD 3,557mm in FY2024[6].

Outlook

The accepted forecast proposal uses segment-specific growth paths. It starts Data Center above the other segments, moderates Client and Gaming growth, and assumes a restrained recovery in Embedded, consistent with the different recent revenue records described above. The proposal tapers growth over its horizon; the Q3 and year-to-date Data Center comparisons support a stronger starting position, while the Client and Gaming quarterly decline supports caution and Embedded's annual decline argues against extrapolating its recent rebound without moderation[4][5][6].

The forecast also assumes a gradual gross-margin progression. Recent reported gross margins were 53.9% for Q3 and 53.5% year to date, compared with 51.7% and 47.5% in the respective prior-year periods[11]. Those results provide a reported operating context, but the forecast glide is an assumption rather than reported guidance. The DCF holds operating margin and capital expenditure as a share of revenue at their LTM bases; it does not use separate forecast paths for those inputs[23].

Valuation

The Gordon-growth DCF produces a target of USD 84.77 per diluted share[7]. The exit-multiple DCF produces USD 158.81 per diluted share, a wide spread that makes the terminal-value choice consequential[7][9]. The Gordon case uses a 10.0% WACC and 2.5% terminal growth; its terminal value is USD 162,809mm[24][25]. The exit-multiple case uses 21.5x EBITDA and yields a terminal value of USD 358,846mm[26]. These terminal values are outside the stated reconciliation

tolerance, so the two DCF methods do not provide a convergent target[7][9].

Relative valuation uses a peer EV/EBITDA band of 18.74x to 153.83x, which implies a broad price range of USD 105.76 to USD 830.42 per share[27]. The DCF and relative-valuation cross-check delta is negative 10.3%, within the mandate's cross-check tolerance, but that agreement does not resolve the divergence between the DCF terminal methods[8][7][9]. The rating remains Sell on the selected Gordon-growth target.

Risks

The forecast and valuation are exposed to the concentration of recent growth in Data Center. That segment generated USD 8,546mm of Q3 revenue, while Client and Gaming revenue fell to USD 3,722mm[4][5]. A slower Data Center trajectory would weigh on the growth mix embedded in the forecast. Client and Gaming's lower quarterly revenue and operating income also make a broad-based recovery less certain[5][19].

Working-capital investment is another execution consideration: accounts receivable increased to USD 9,209mm from USD 6,315mm at FY2025, and inventory rose to USD 11,463mm from USD 7,920mm[28][29]. Capital expenditure was USD 1,845mm year to date, compared with USD 752mm in the prior-year period[30]. If growth converts less effectively into cash or requires greater investment, the DCF's cash-flow estimates could be pressured. Finally, the wide spread between the Gordon and exit-multiple DCF values leaves the target sensitive to terminal assumptions[7][9].

Evidence references

References identify candidate filing sources or calculations. Unresolved references require review. One reference may cover multiple periods; check the cited filing and the underlying facts for the period used.

[1] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Net revenue. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Net revenue. Open source document

[2] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Operating income. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Operating income. Open source document

[3] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Diluted earnings per share. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Diluted earnings per share. Open source document

[4] Model output. segments / data center / revenue in model.json. Underlying source not resolved for this field.

[5] Model output. segments / client and gaming / revenue in model.json. Underlying source not resolved for this field.

[6] Model output. segments / embedded / revenue in model.json. Underlying source not resolved for this field.

[7] Valuation calculation. dcf / per diluted share / gordon in valuation.json. Review the model and assumptions for its inputs.

[8] Valuation calculation. cross check delta in valuation.json. Review the model and assumptions for its inputs.

[9] Valuation calculation. dcf / per diluted share / exit multiple in valuation.json. Review the model and assumptions for its inputs.

[10] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Gross profit. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Gross profit. Open source document

[11] Model calculation. Formula: income statement / gross profit / income statement / revenue.
income statement / gross profit: amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Gross profit. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Gross profit. Open source document.
income statement / revenue: amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Net revenue. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Net revenue. Open source document.

[12] Model calculation. Formula: income statement / operating income / income statement / revenue.
income statement / operating income: amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Operating income. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Operating income. Open source document.
income statement / revenue: amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Net revenue. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Net revenue. Open source document.

[13] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Net income. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Net income. Open source document

[14] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Other income (expense), net. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Other income (expense), net. Open source document

[15] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of

Operations; Income from continuing operations before income taxes and equity income. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Income from continuing operations before income taxes and equity income. Open source document

[16] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Operations; Interest expense. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Operations; Interest expense. Open source document

[17] Model output. segments / data center / operating income in model.json. Underlying source not resolved for this field.

[18] Model output. segments / data center / operating margin in model.json. Underlying source not resolved for this field.

[19] Model output. segments / client and gaming / operating income in model.json. Underlying source not resolved for this field.

[20] Model output. segments / client and gaming / operating margin in model.json. Underlying source not resolved for this field.

[21] Model output. segments / embedded / operating income in model.json. Underlying source not resolved for this field.

[22] Model output. segments / embedded / operating margin in model.json. Underlying source not resolved for this field.

[23] Valuation calculation. dcf / base / ebitda margin in valuation.json. Review the model and assumptions for its inputs.

[24] Valuation calculation. dcf / wacc in valuation.json. Review the model and assumptions for its inputs.

[25] Valuation calculation. dcf / terminal / gordon / terminal value in valuation.json. Review the model and assumptions for its inputs.

[26] Valuation calculation. dcf / terminal / exit multiple / terminal value in valuation.json. Review the model and assumptions for its inputs.

[27] Valuation calculation. comps / own band in valuation.json. Review the model and assumptions for its inputs.

[28] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Balance Sheets; Accounts receivable, net. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Balance Sheets; Accounts receivable, net. Open source document

[29] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Balance Sheets; Inventories. Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Balance Sheets; Inventories. Open source document

[30] Filing source. amd-10q-2026q3; 10-Q; Filed 2026-11-04; Condensed Consolidated Statements of Cash Flows; Purchases of property and equipment (investing activities). Open source document; amd-10k-fy2025; 10-K; Filed 2026-02-04; Consolidated Statements of Cash Flows; Purchases of property and equipment (investing activities). Open source document

Input documents

Document identifiers and truncated hashes from the input manifest.

Document	Form	Filed	SHA-256 (first 16)
amd-10k-fy2024	10-K	2025-02-05	9f1e660458aa5b5b
amd-10k-fy2025	10-K	2026-02-04	24724a71abca5118
amd-10q-2025q1	10-Q	2025-05-07	38837430579f5f5a
amd-10q-2025q2	10-Q	2025-08-06	95bda811f43e02a6
amd-10q-2025q3	10-Q	2025-11-05	c470cdf079a6567b
amd-10q-2026q1	10-Q	2026-05-06	7e04ff77ce5d5c09
amd-10q-2026q2	10-Q	2026-08-05	2940323fe6393f36
amd-10q-2026q3	10-Q	2026-11-04	11ee28589c280def
amd-8k-2025-10-27	8-K	2025-10-27	548e7022ca42d283
amd-8k-2026-11-03	8-K	2026-11-03	fb8c8664131a6441

Decision record

(case not yet approved)